

lease. Instead of the sales tax being paid up front as it is in a loan for a new car, a portion of it is paid each month. If sales tax in your state is 5 percent, the sales tax on a \$20,000 car is \$1,000. If you lease, that's \$1,000 you don't have to borrow or cough up all at once. Leasing may be a good option for you if you like to have a new car every few years and don't want to incur the costs of buying and selling, or you don't have the money to come up with a down payment on a new car.

On the Other Hand

Leases may not be a good option for you if you put more than 12,000 to 15,000 miles per year on your vehicles. All leases include a mileage allowance, usually between 12,000 and 15,000 miles per year. If you exceed the allowance, you'll have to pay a fee at the end of the lease (often between ten and twenty cents per mile), which can add up to a significant amount of money. If your lease allows 12,000 miles per year and you average 14,000 per year for four years, the 8,000 extra miles at twenty cents per mile would cost you \$1,600 in addition to your lease payments.

Understanding Leases

Read all the fine print and ask questions to be sure you understand what you're getting into. Leases have three basic components:

- Capitalized cost
- Residual value
- Interest rate or money factor

The capitalized cost is the price of the car. It's important to negotiate the lowest possible capitalized cost in order to reduce the size of your payments. Tell the salesperson that you want to negotiate the price of the car just as you would if you were buying it outright.

You have no direct control over the residual value, but you can influence it by choosing certain makes over others. Cars that depreciate quickly will cost you more to lease than those that hold their value. Remember, you're paying for the depreciation on the vehicle, so if you choose a car that depreciates quickly, it comes out of your pocket.